

Executive Summary

Early Retirement and Labour Force Participation: Evidence from Germany's 'Rente mit 63' Reform

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- Germany's current pension system faces growing demographic pressure: the old-age dependency ratio is projected to rise from 39 (2024) to up to 61 per 100 working-age persons by 2070.
 - The *Rente mit 63* reform allows workers with ≥ 45 contribution years to retire at age 63 without financial deductions, sharply reducing retirement age for eligible cohorts.
 - We ask whether *Rente mit 63* reduced labour force participation among eligible men, and whether any effect differs by region (East vs. West) or socioeconomic status (income quintiles and educational attainment).
 - Using SOEP panel data (2009–2019, excluding 2014), we compare men aged 62–65 with ≥ 45 contribution years (treatment) to those with 42–44 contribution years (control) in a difference-in-differences design with individual fixed effects.
 - The main specification yields a DiD coefficient of -0.219 ($p < 0.001$), indicating that the reform reduced the probability of employment by approximately 22 percentage points among eligible men.
 - No statistically significant regional heterogeneity: the interaction of the DiD term with an East Germany indicator is negative but insignificant ($p = 0.123$), providing no evidence that the reform effect differs between East and West German workers.
 - Education does not moderate the effect. The interaction term on above-median schooling is near zero (-0.016 , $p = 0.868$).
 - A quintile-level specification reveals a clear gradient. The employment decline is 35.1 percentage points in the lowest quintile ($p < 0.001$) but only 4.6 percentage points in the highest ($p = 0.392$). The difference between the two extremes is statistically significant ($p < 0.01$).
 - The main result survives four robustness checks: stability across alternative control group definitions, placebo tests in false reform years, a donut design excluding workers near the eligibility threshold, and a sensitivity analysis confirming that the Flexirente reform of 2017 does not drive the effect.
 - The analysis is subject to several limitations: the sample is restricted to men, the small treatment group constrains the power of heterogeneity tests, and the contribution of *Rente mit 63* versus the 2017 Flexirente reform cannot be fully disentangled in the later post-period.
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